



PROPOSAL

TAP Study – 3mt at 30ML

Reference: Simon Owens

Seller

Biocarbon, LLC

19 Farmer Street

Hazlehurst, GA 31539 USA

EIN: 99-4862672

Seller is the legal entity for Contract and Invoicing.

Issued to

Alfanar Energy Limited

1-6 Lombard Street, London EC3V 9AA United Kingdom

Registered Number: 11520080

This quotation is issued exclusively to the above legal entity. Purchase Orders issued by other entities require written approval prior to acceptance.

Quote information

Quote No.:	QUO-01018-Q0N9N8	Rev	R0
Date:	2026-05-06		
Valid Until:	2026-06-05		
Commercial contact	Andrew Johnson		
	ajohnson.external@tsi-inc.net		

Scope of Supply

Biocarbon LLC (JV subsidiary of TSI) to supply 3mt of torrefied southern yellow pine pellets to Alfanar for evaluation. Pellets will be standard mill-run pellets from Fram Fuels, which are then processed through the Torrefactor with a target mass loss of 30%. (Note: prior experience with southern yellow pine wood chips at 308°C achieves this approximate mass loss). After processing through the Torrefactor, the material will be placed in UN13H4 compliant, lined super sacks. The super sacks will be purged with nitrogen and closed. Each super sack will be placed on a ISPM-compliant pallet and placed in a shipping container. Eight super sacks will be placed are expected to be required; this will take up approximately one standard 20ft shipping container.

Assumptions and Clarifications

- Pricing is on a [bone-dry infeed / output] mass basis.
- Material produced at Seller's facility in Lumber City, GA using Seller's torrefaction process.

- Estimated production lead time is ten (10) days from receipt of Purchase Order and required deposit; subject to feedstock availability.
- Packaging materials are estimated; final invoice will be adjusted as necessary.
- Buyer is responsible for all freight, logistics, and unloading from Seller's facility (EX WORKS).
- Yield and output characteristics are indicative only and subject to natural feedstock variability.

Pricing Summary

ID	PN	Product Name	Unit	Price	Qty	Extended
1	TS-000LP-TAP	Torrefaction Sample - Pellets - Low – TAP*	mt	\$ 712	5	\$ 3560
2	3P-CV	Calorific Value (3rd party)	ea	\$ 48	1	\$ 48
3	3P-PROX	Proximate Analysis (3rd party)	ea	\$ 102	1	\$ 102
4	3P-ULT	Ultimate Analysis (3rd party)	ea	\$ 216	1	\$ 216
5	INT-CV	Calorific Value (internal)	ea	\$ 30	3	\$ 90
6	INT-PROX	Proximate Analysis (internal)	ea	\$ 65	1	\$ 65
7	INT-HGI	Grindability / HGI (internal)	ea	\$ 50	1	\$ 50
8	INT-BD	Bulk Density (internal)	ea	\$ 20	1	\$ 20
9	SS-424244-UN	Super Sack - 42x42x44-[UN 13H4 PP FIBC]	ea	\$ 45	8	\$ 360
10	PAL-4242-ISPM	Pallet, 42x42-ISPM	ea	\$ 19	8	\$ 152
11	MOQ	Minimum order value adjustment	n/a	\$ 5337	1	\$ 5337
12	DISC	Strategic Partnership Discount (100%	n/a	\$ (10,000)		\$ (10,000)
				Total		\$ 0

*5mt to be run to ensure 3mt available to ship.

Schedule

Schedule shall be coordinated with between parties upon issue of Purchase Order. Material estimated available to run in 10 days.

Delivery Terms

Freight by customer, EX-WORKS:

*Biocarbon / Telfair Forest Products,
11 Industrial Blvd
Lumber City
GA 31549, USA*

Seller to provide all necessary information required for shipping including material data safety sheet.

Payment Terms

N/A

TERMS AND CONDITIONS

These Terms and Conditions are incorporated into and form part of the foregoing quotation.

1. Scope

Seller shall supply the materials and/or services in the volume, at the time, and in the manner described in this quotation ("Goods") in accordance with the specifications stated herein. Any changes must be mutually agreed in writing.

2. Price and Taxes

Prices are as stated in this quotation. Unless expressly stated otherwise, prices exclude all local, state, federal, and other applicable taxes, duties, or fees. Buyer is responsible for all such charges.

3. Payment terms

Payment shall be made in accordance with the Payment Terms stated in this quotation. Late payments shall accrue interest at 1.5% per month or the maximum rate permitted by law, whichever is lower.

4. Delivery and Risk of Loss

Delivery terms are EX WORKS (Incoterms® 2020) Seller's facility in Lumber City, Georgia, USA, unless otherwise stated. Risk of loss transfers to Buyer upon transfer to Buyer's transportation in accordance with EXW.

5. Delivery Time

Delivery time is estimated and subject to change.

6. Pickup, Delivery, and Storage

Buyer shall take delivery of the Goods within thirty (30) days of written notice that the Goods are ready for pickup or shipment.

If Buyer fails to take delivery within such period:

- Seller may charge reasonable storage fees,
- Seller may invoice the remaining balance immediately, and/or
- Seller may, at its discretion, dispose of or destroy the Goods without further liability.

If Seller arranges shipment, at Buyer's request, Buyer must accept delivery upon tender. Failure to accept delivery shall be treated as failure to take delivery under this clause.

7. Experimental / Evaluation Use Only

The Goods are provided to Buyer solely for research, testing, and evaluation purposes by Buyer.

The Goods:

- Are not certified for commercial resale,
- Are not intended for consumer use,
- May vary in composition and performance,
- Are provided for industrial testing purposes only.

Buyer assumes all responsibility for handling, storage, testing, and use.

8. Resale

Except for Claudius Peters Group GmbH, Buyer shall not sell, transfer, or otherwise provide the Goods to any third party without prior written notice to Seller identifying the intended recipient and the purpose of the transfer. Seller shall have ten (10) business days following receipt of such notice to approve or object in writing. Approved transfers are subject to the same restrictions contained in these Terms and Conditions, and Buyer shall be responsible for the recipient's compliance. Seller retains the right to withhold approval at Seller's sole discretion. Buyer shall not sell, transfer, distribute, or otherwise provide the Goods to any third party without Seller's prior written consent.

The Goods are provided exclusively for Buyer's internal evaluation purposes.

9. Material Quality and Disclaimer

Where material is supplied to an agreed specification, that specification will be attached as Appendix A and forms part of this quotation. Biomass materials naturally vary in composition and characteristics; Seller does not guarantee uniformity beyond what is expressly stated in Appendix A at time of shipment, not in any future shipment of Goods bearing the same description. Material is otherwise provided "as is," with no implied warranties of merchantability, fitness for purpose, or suitability for any specific application. Buyer assumes all risk associated with use and testing of the Goods.

10. Limitation of liability

Seller's total liability arising out of or related to this quotation or any resulting purchase order shall not exceed the total amount paid by Buyer under the applicable purchase order. Neither party shall be liable for indirect, incidental, special, or consequential damages, including lost profits or business interruption.

11. Intellectual Property Protection

Nothing in this quotation transfers any intellectual property rights. All process know-how, trade secrets, methodologies, and proprietary technology remain the exclusive property of Seller.

Buyer shall not analyze, reverse engineer, or attempt to replicate Seller's process technology.

For avoidance of doubt, no restriction applies to the use or disclosure of the attributes or characteristics of the Goods.

12. No Implied License

Except as provided above, provision of Goods does not grant Buyer any license to directly or indirectly use or seek benefit from Seller's trademarks, process technology, or proprietary methods beyond evaluation of the supplied Goods, nor does Buyer become Seller's agent for any purpose.

13. Confidentiality

All technical, commercial, and pricing information provided by Seller, and any data or findings derived from Buyer's evaluation of the Goods, are confidential and may not be disclosed or published externally without Seller's prior written consent for a period of 3 years from the date of this proposal. Buyer may share such information internally and with professional advisors, affiliates, consultants and contractors (who are not competitors of the Seller), financiers bound by equivalent confidentiality obligations. These obligations apply regardless of whether a separate non-disclosure

agreement exists between the parties. These confidentiality obligations apply regardless of whether the parties execute a separate non-disclosure agreement.

14. Publicity Restriction

Buyer or Seller shall not reference other Party's name, trademarks, or involvement in any publication, press release, marketing material, or public disclosure without prior written consent.

15. Indemnification

Buyer shall indemnify and hold Seller harmless from and against any claims, demands, harm or loss arising from or related to Buyer's handling, testing, modification, or use of the Goods or failure to comply with Seller's obligations hereunder except in so far as such claims, demands, harm or loss is caused on account of act, omission or breach of Seller. In the event of a breach or threatened breach by Buyer or Buyer's transferee of any covenant or obligation of either owing to Seller, Seller shall be entitled to recovery of all damages suffered as a result thereof, whether by contract or tort, including obtaining an injunction to prevent such breach without the obligation to first show actual loss and without the posting of any bond or surety.

16. Compliance With Laws

Buyer is responsible for compliance with all applicable environmental, safety, import/export, and handling regulations in connection with the Goods.

17. Force Majeure

Seller shall not be liable for delays or failure to perform resulting from events beyond its reasonable control, including but not limited to acts force majeure, labor disputes, supply chain disruptions, governmental actions, or transportation delays or the acts or omissions of Seller.

18. Governing Law

This quotation and any resulting purchase order shall be governed by and construed in accordance with the laws of the State of Georgia, USA, without regard to conflict of law principles. The United Nations Convention on Contracts for the International Sale of Goods (CISG) shall not apply.

19. Entire agreement

This quotation, together with these Terms and Conditions, constitutes the entire agreement between the parties and supersedes prior communications. Any additional or conflicting terms in Buyer's purchase order are rejected unless expressly agreed in writing by Seller.

ACCEPTANCE

Acceptance of this quotation constitutes acceptance and approval of the foregoing Terms and Conditions with regard to any subsequent purchase order of the Buyer.

Signature

Name

Title

Date

Simon Owens

Digitally signed by Simon Owens
DN: C=GB,
E=simon.owens@alfanar.com,
O=Alfanar Projects,
OU=Alfanar Energy Limited,
CN=Simon Owens
Date: 2026.06.30
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